

Re: Response to Market-Supporting Policy Subindex Evaluation

Dear Mr. Hughes,

Thank you for your thorough and thoughtful evaluation of our Market Supporting Policy subindex. Your critiques are valuable and we appreciate the care you took in reviewing this element of our Index. We have made substantive changes and additions to this subindex based on your recommendations and hope they sufficiently address your concerns. Where we made no changes, we provide a detailed explanation. Below are our responses to your feedback and recommendations.

I. Component 1: Market Initiatives

Vocational Training

“I would not include a reskilling option given that it’s difficult to differentiate vocational opportunities from reskilling programs. I’m also unclear on what state programs help people “find new employment.” I’m not aware of evidence of job banks functionally working or improving labor market outcomes. I would shift this category to something more concrete: In your country, to what extent is vocational training available to workers throughout their lifetimes?” (Regarding WEF Active Labor Market Policies indicator)

We agree with your critique of our choice to include a reskilling measure instead of a metric of broader vocational training availability. Unlike general education, vocational training plays a uniquely market-supporting role by aligning worker skills with demand, supporting labor markets and firm participation. In response, we have removed the WEF Active Labor Market Policies indicator in favor of the WEF Quality of Vocational Training indicator. The survey question is posed as follows: “In your country, how well does vocational education meet the needs of a competitive economy? [1 = Not at all; 7 = To a great extent]”.

Public Support for New Ventures

“I’m not clear on whether this is asking about public investment, regulatory policy, or business formation law. I would put the emphasis on the speed with which new businesses can be incorporated and operational rather than direct investment in start-ups. “Startup” also has a tech connotation - I assume this is about all business formation and not tech specific? I think it should be broad.” (Regarding WEF Public Support to Start-Ups Indicator)”

We agree that the WEF “Public Sector Support to Start-ups” indicator is broad and potentially ambiguous in scope. Instead of using this as a direct measure of start-up support, we use it as a perception-based proxy for the overall policy environment supporting new firm formation and early-stage business viability. To account for this conceptual imprecision, we have assigned the indicator a reduced reliability grade (3.57/5) and deploy it in tandem with complementary measures of regulatory quality, competition policy, and market entry.

Public Investment in R&D

“Public investment in R&D can be tricky to identify. DARPA and university funding can easily be identified as R&D, but public investment in frontier companies could also

qualify.” (regarding WEF Government’s Role in Supporting Markets: Support Long-Term Investment in R&D)

We agree that public investment in R&D is difficult to delineate. However, we treat this indicator as a perception-based measure of whether governments create credible, long-horizon support for innovation ecosystems, rather than as a precise accounting of R&D expenditures. As more robust and geographically expansive measurements of public R&D develop, we will include them in this subindex.

Government ICT Strategy

“Vague - do we need this?” (regarding WEF Government ICT Strategy)

We agree that the WEF Government ICT Strategy indicator is broad and vague in its wording. Rather than interpreting it as a narrow assessment of specific digital policies or expenditures, we treat the measure as a proxy for whether governments articulate and credibly execute a coherent strategy for leveraging ICT to enhance economic competitiveness. Given its high-level nature, the indicator is not intended to capture technical sophistication or implementation outcomes in isolation, but instead to signal the presence of strategic coordination and policy clarity around ICT.

Input vs. Outcome Metrics

“This is an outcomes question, unlike the others so far. An empirical observation of market success rather than the effect of government on markets. It stands out from the rest. Without it, I worry that the results might be skewed against countries with high degrees of innovation.” (regarding WEF Growth of Innovative Companies)

The WEF Growth of Innovative Companies survey indicator asks, “In your country, to what extent do new companies with innovative ideas grow rapidly and can disrupt established firms in their markets? [1 = Not at all; 7 = To a great extent].” We agree that this differs conceptually from many of the other measures in this indicator, as it captures an observed market outcome rather than a direct policy input or institutional mechanism. As a result, we decided to remove this indicator from this component to maintain conceptual consistency. Retaining it risked conflating the presence of market-supporting institutions with realized market performance, which could obscure the intended focus on government facilitation of market structures rather than market activity within those markets.

II. Component 2: Operational and Institutional Quality

Central Bank Independence Weighted Index

“What does personnel independence mean? Is the assessment of appropriate central bank objectives only price stability and maximum employment? I think that may be artificially narrow, since in some cases, credit allocation has been a priority for central banks and could be effective.” (regarding Central Bank Independence Weighted Index)

The Central Bank Independence Weighted Index defines personnel independence as the degree to which senior central bank officials are protected from political interference, including the security of tenure, the process for appointment and dismissal, and restrictions on holding other government

offices. These features are intended to capture whether monetary authorities can operate without direct political pressure in setting policy. From a market-supporting policy perspective, credible insulation of monetary authorities reduces discretionary intervention, limits opportunistic political manipulation of credit and inflation, and supports the predictability of nominal anchors that market actors rely on for pricing decisions.

The index assesses central bank objectives based on the legal clarity and hierarchy of mandates rather than the substantive merits of specific policy goals. Higher scores are assigned where price stability is the primary or sole objective, following established literature that links mandate clarity to credibility, accountability, and insulation from political pressure.¹ We acknowledge that this approach may understate institutional frameworks in which central banks pursue broader objectives like credit allocation. However, price stability primacy functions as a proxy for de jure independence, not as a normative judgment about optimal policy design. We therefore interpret this component as capturing legal protection from political interference rather than the appropriateness of alternative central bank mandates.

Capacity for Institutional Reform and Flexibility

“Is updating a legal framework a good in and of itself? Land-based property rights may be centuries old and not merit updates and still be innovation enhancing.” (regarding WEF Government Role in Shaping Markets: Timely Updates of Legal Framework)

This indicator is not intended to imply that legal change is inherently desirable. Rather, it captures the government’s capacity to adapt legal and regulatory frameworks when existing rules become misaligned with evolving economic, technological, or market conditions. While legal and institutional reform is not always desirable or necessary, *the capacity to do so* when in certain situations is critical to long-term institutional quality.

Crisis Adaptation

“This feels tricky given the shifting and often contested definitions of what makes for a crisis. Does climate change count? High levels of illegal immigration? ” (regarding WEF Government Adaptation to Crisis)

We agree that this indicator is problematic due to its reliance on an ambiguous and context-dependent definition of “crisis.” What counts as a crisis varies widely across countries and over time, making cross-country comparisons difficult and potentially misleading. Including it could bias results toward countries facing particular shocks rather than reflecting genuine government adaptability or effectiveness. For these reasons, we removed it from the index.

Ambiguity of Cross-National Comparisons of Illegality

“The use of the word “illegal” here feels problematic. Public capital can be deployed to political allies and friends without it being illegal.” (regarding WEF Diversion of Public Funds)

This critique is valid. To rectify the ambiguous wording and interpretation of this dataset, we replaced it with V-DEM’s Public Sector Corruption indicator, which measures the extent to which

¹Alberto Alesina and Lawrence H. Summers, “Central Bank Independence and Macroeconomic Performance: Some Comparative Evidence,” *Journal of Money, Credit and Banking* 25, no. 2 (1993): 151–162; Stanley Fischer, “Central-Bank Independence Revisited,” *American Economic Review* 85, no. 2 (1995): 201–206.

public sector employees grant favors in exchange for bribes, kickbacks, or other material inducements, and how often they steal, embezzle, or misappropriate public funds or other state resources for personal or family use.

III. Missing Elements

Education

“Outside of the initial gesture to reskilling, there’s no consideration of education, whether it be vocational or higher education.”

We deliberately exclude broad measures of education because the objective of this subindex is to measure policies that directly support the functioning and stability of market systems, rather than economic capacity and activity within those markets. While education is unquestionably beneficial for workers, firms, and economic growth, most indicators of education measure population attainment and expenditure rather than policy. Including these measures would risk conflating market supporting policy with general welfare development. However, we do recognize that the availability and quality of vocational training plays a uniquely market-supporting role. Unlike general education, vocational training aligns worker skills with demand, supporting labor markets and firm participation. For this reason, we replaced the WEF reskilling indicator with the WEF vocational training quality indicator, which more directly reflects government investment in sustaining functional labor markets. This distinction reinforces our goal to assess whether governments support the institutional and policy foundations of markets themselves, rather than the outcomes that arise once those markets are in place.

National Investment

“There’s no consideration of institutions of public investment – national investment banks or sovereign wealth funds.”

The subindex focuses on direct government support and legal frameworks, so we exclude institutions that represent less direct channels of state support, like sovereign wealth funds, as a deliberate scope choice to maintain comparability across borders. We view sovereign wealth funds as important market participants but removed from a direct market creating role. National investment banks would be in scope for this subindex, but no centralized globally comparable datasets exist that measure them. If that data emerges, we will include it in this component.

Monopolies

“There’s no consideration of the role of regulated monopolies or utilities and how effectively they’re run.”

There is no global, cross-country, consistent panel dataset on the operational efficiency of regulated monopolies or utilities. Some national regulators collect performance metrics of their own systems, but these are rarely harmonized or comparable internationally.² Moreover, the available proxies for

²UK Office of Gas and Electricity Markets (Ofgem), Electricity Distribution and Transmission Reliability Reports; the UK Office of Communications (Ofcom), Connected Nations and telecommunications market statistics; the UK Water Services Regulation Authority (Ofwat), Water Company Performance Reports; the U.S. Federal Energy Regulatory Commission (FERC), Electric Transmission Performance Metrics; the U.S. Federal Communications Commission (FCC), Broadband Deployment and Local Competition Reports; the Australian Energy Regulator

monopoly performance are conceptually weak. In regulated monopoly settings, observed outcomes, like pricing levels or firm profitability, may reflect explicit non-market objectives (e.g., universal service or redistribution) rather than regulatory competence. Including such proxies would therefore introduce substantial measurement error and normative ambiguity. Therefore, we exclude regulated monopoly performance while recognizing it as an important area for future research as better cross-national data become available.

Government Responsiveness

“There’s no consideration of the effectiveness of government to update public policy in a timely fashion, i.e. responsiveness to the changing dynamics of the economy.”

While the subindex does not explicitly measure the timeliness of government policy updates, many of its datasets implicitly capture how governments adapt to changing economic conditions. This is captured in components like the WEF Timely Update of Legal Framework, WEF Ease of Complying with Tax System, and WGI Regulatory Quality. As discussed in the *Capacity for Institutional Reform and Flexibility* response, while legal and institutional reform is not always desirable or necessary, the *capacity to do so* when in certain situations is critical to long-term institutional quality.

Concluding Remarks

Thank you again for your comprehensive and detailed review of the Market-Supporting Policy index. Your feedback highlighted three central concerns: (1) distinguishing between direct institutional mechanisms and market outcomes, (2) the conceptual clarity of individual indicators, including central bank independence, vocational training, and R&D support, and (3) the availability and reliability of data for certain policy areas, such as regulated monopolies, national investment banks, and government responsiveness.

In response, we revised the subindex to maintain a consistent focus on institutional inputs that enable functional and competitive markets. We removed outcome-oriented indicators, like the WEF Growth of Innovative Companies indicator, to avoid conflating market performance with policy design. We clarified ambiguous measures or, when possible, replaced them with proxies that better capture government facilitation of market structures, such as the WEF Quality of Vocational Training indicator and V-DEM’s Public Sector Corruption indicator. Finally, we documented data limitations for areas lacking globally harmonized measures, such as regulated monopoly performance and national investment institutions.

These revisions collectively strengthen the conceptual coherence of the subindex, ensure alignment with our theoretical framework on market-supporting policy, and provide a transparent, reproducible methodology for future analysis. We would be happy to discuss any of these points further, and we hope to continue this productive dialogue about how to strengthen the subindex and the Global Capitalism Index.

Sincerely,

UVA Democracy and Capitalism Lab

(AER), Service Target Performance Incentive Scheme Reports; and the UK Office of Rail and Road (ORR), Railway Performance Statistics.